

The Bands Moved to the Price

Friday's risk ranges were revised toward where prices already sat, which changes what they can tell you today.

THE READING

The S&P 500 closed Friday at 7,650.50, up 0.17%, while the equal-weight index fell 0.48% and nine of eleven sectors finished lower. The Philadelphia semiconductor index rose 2.78% and closed 1.27 points off its high. It was the only group that worked.

Underneath it, the two-year yield settled at 4.756%, within 0.4 basis points of a 52-week high, and the MOVE index of bond volatility rose 5.80% to 80.64, closing at its session high. The VIX fell 4.08% to 14.82 and closed on its low. HYG, LQD and TLT sit roughly 0.2%, 0.6% and 1.0% above their 52-week lows. Equity volatility went out at the floor; rate volatility went out at the ceiling. The mood is not fear and it is not conviction. It is narrowness.

WHAT WISDOM WOULD SAY

Philip Tetlock spent two decades scoring expert forecasts against outcomes, work published in *Expert Political Judgment* and later in *Superforecasting*. The finding that travels furthest is not that experts are often wrong. It is what they tend to do afterwards: rather than lower their confidence, they adjust the claim, so that forecast and outcome are made to agree and nothing is learned.

Friday's published risk ranges do something structurally similar. The VIX band was cut at both ends, floor down 1.50 and ceiling down 1.39, to sit around a price that had already fallen through it, and the signal went from bullish to neutral. The silver band was widened by two dollars and flipped from bearish to neutral after the price closed above the old ceiling. The S&P band widened 45%, the Nasdaq band 60%.

None of this is dishonest. Bands are built to track realised volatility, and realised volatility moved. But a boundary that follows the price has stopped telling you where the price is unusual. It is telling you where the price is.

THE RISK IT JUSTIFIES

Treat this week's bands as description rather than signal, and fall back on the levels written before they moved. The S&P sits half a point below the 7,651 line named on Thursday, and 76.50 below a ceiling that was raised 78 points on Friday. The clearance overhead is manufactured, not earned.

That argues against adding index exposure on the strength of a widened band, and against reading the Nasdaq at 87.9% of its range as room rather than extension. It argues equally against selling volatility at a 14.82 VIX while MOVE breaks out of the sub-75 regime the framework has leaned on. Two volatility surfaces are disagreeing, and only one of them is priced cheaply.

What would change the answer: a cash close above 7,651 that holds on unchanged bands, or MOVE back below 75 with credit lifting off its lows. Tonight's Early Look resets every band above.

Which of your levels did you choose, and which have quietly been moved to meet a price?